

Equivalent Citations
citation codes .

KUNHABDULLA P T v. UNION OF INDIA

Kerala High Court (Dec 4, 2024)

CASE NO.

WP(C) 36351/2024

DISPOSITION

NA

JUDGES

- JUSTICE C.S. DIAS

ATTORNEY

SUMMARY

Factual and Procedural Background

The petitioner, Kunhabdulla P T, filed this writ petition seeking a direction to respondents 3 and 4 (Federal Bank Limited and its branch manager) to lift the freezing of his bank account No. 20470100010363. The petitioner is the holder of the said account and was unaware of the reasons for the freezing. He contended that he was not given any opportunity to be heard prior to the freezing, rendering the respondents' action illegal and arbitrary. The petition came up for admission on 7.11.2024, when this Court passed an interim order lifting the freeze on the petitioner's bank account, noting that only a notice under Section 102 of the Cr.P.C. from the Maharashtra Police was then extant.

Legal Issues Presented

1. Whether the freezing of a bank account without prior notice or opportunity to be heard is lawful.
2. The scope and application of Section 102 of the Criminal Procedure Code (Cr.P.C.) concerning seizure of *property* , including bank accounts.
3. The legal consequences of delay or failure by police to report seizure to the Magistrate as mandated by Section 102(3) Cr.P.C.
4. The constitutional validity of seizure actions under Article 300A of the Constitution of India

Arguments of the Parties

The opinion does not contain a detailed account of the parties' legal arguments.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Dr. Sajeer v. Reserve Bank of India [2024 (1) KLT 826]	Limits on freezing bank accounts to amounts specified by police requisitions; requirement for police to inform banks about continuation or withdrawal of freezes.	The Court adopted the principles laid down, directing that freezing should be limited to specified amounts and banks should act on police intimation within a defined period.
State of Maharashtra v. Tapas D Neogy [(1999) 7 SCC 685]	Bank accounts of accused or relatives can be treated as " <i>property</i> " under Section 102 Cr.P.C. for seizure purposes.	Supported the characterization of bank accounts as <i>property</i> subject to seizure under Section 102.
Teesta Atul Setalvad (S) v. The State Of Gujarat (S) [(2018) (2) SCC 372]	Investigating Officer's authority to issue instructions to seize suspected bank accounts, contingent on reporting to Magistrate as per Section 102(3).	The Court recognized the procedural requirement of reporting seizure to Magistrate for validity.
Shento Varghese v. Julfikar Husen and others [2024 SCC OnLine SC 895]	Interpretation of the term "forthwith" under Section 102(3) Cr.P.C.; consequences of delay in reporting seizure to Magistrate.	The Court held that delay must be judged reasonably; unexplained or negligent delay could lead to departmental action but does not vitiate the seizure itself.
Madhu K v. Sub Inspector of Police and others [2020 (5) KLT 483]	Police cannot freeze bank accounts without reporting seizure to Magistrate; such unregulated power affects privacy and reputation.	The Court deprecated police officers arrogating unregulated power to freeze accounts and emphasized compliance with Section 102 reporting requirements.

Court's Reasoning and Analysis

The Court examined the statutory framework under Section 102 of the Cr.P.C., which

including bank accounts as held by the Supreme Court. The Court emphasized the mandatory procedural requirement under Section 102(3) that seizure must be reported forthwith to the Magistrate. The Supreme Court's guidance in *Shento Varghese* clarified that "forthwith" requires reasonable speed and urgency, but some delay may be excused if explained. However, total failure to report seizure to the Magistrate undermines the validity of the seizure.

The Court highlighted that the police cannot exercise an unregulated power to freeze bank accounts without due process, as such actions impact fundamental rights including the right to *property* under Article 300A and privacy interests. It relied on the decision in *Madhu K* to caution against arbitrary freezing without Magistrate oversight.

In line with the principles from *Dr. Sajeer*, the Court directed that police must inform banks whether reporting to the Magistrate has been done or will be done within a specified timeframe. Absent such compliance or intimation within one month, banks must lift freezes or liens on the accounts. The petitioner and banks must serve copies of this judgment on the police to facilitate compliance.

Holding and Implications

The writ petition is disposed of with directions.

The Court ordered that the jurisdictional police officers must inform the concerned banks whether the seizure of the bank account has been reported to the Magistrate and, if not, specify the timeframe for such reporting. If no intimation is received within one month, the bank shall lift the freeze or remove the lien on the petitioner's account. This decision directly affects the parties by providing a clear procedural safeguard against indefinite freezing of bank accounts without due process. No new precedent beyond the application of existing principles was established.

2024:KER:91604

WP(C) NO.36351 OF 2024

1

IN THE HIGH COURT OF KERALA AT ERNAKULAM

PRESENT

THE HONOURABLE MR.JUSTICE C.S.DIAS

**WEDNESDAY, THE 4TH DAY OF DECEMBER 2024/13TH AGRAHAYANA,
1946**

WP(C) NO.36351 OF 2024

PETITIONER:

KUNHABDULLA P T

AGED 53 YEARS

**S/ O AYISHA, ANAYIL, KAYAKKODI, KOZHIKODE, KERALA, PIN -
673508**

BY ADVS.

SIDHARTH O.

SUSANTH SHAJI

ALBIN A. JOSEPH

RESPONDENTS:

1 UNION OF INDIA

**REPRESENTED BY THE SECRETARY, MINISTRY OF FINANCE,
NORTH BLOCK, NEW DELHI, PIN - 110001**

2 RESERVE BANK OF INDIA

**REPRESENTED BY ITS, GENERAL MANAGER, BRANCH
OFFICE, BANERJI ROAD, ERNAKULAM NORTH, KOCHI, PIN
- 682018**

3 FEDERAL BANK LIMITED

**6TH FLOOR, FEDERAL TOWERS, BANK JUNCTION, ALUVA,
ERNAKULAM DISTRICT, REPRESENTED BY ITS MANAGING
DIRECTOR, PIN - 683101**

4 BRANCH MANAGER

**THE FEDERAL BANK LTD, KUTTIADY, SIMAX TOWER,
MARUTHONKARA ROAD, KOZHIKODE, PIN - 673508**

**5 SUPERINTENDENT OF POLICE, STATE CYBERCRIME CELL,
GUJARAT STATE**

**GANDHINAGAR, 7TH FLOOR, KARMYOGI BHAVAN, SECTOR- 10- A,
BLOCK NO-2, GANDHINAGAR, GUJARAT, PIN -**

6 STATION HOUSE OFFICER, CYBER CRIME INVESTIGATION

CELL,

CYBER BRANCH, NAVI MUMBAI, SECTOR 10, OPPO RBI,

CBD BELAPUR, NAVI MUMBAI, PIN - 400614

BY GOVT.PLEADER SRI.P.S.APPU

SC SRI.MOHAN JACOB GEORGE -R3 & R4

THIS WRIT PETITION (CIVIL) HAVING COME UP FOR ADMISSION

ON 04.12.2024, THE COURT ON THE SAME DAY DELIVERED THE

FOLLOWING:

JUDGMENT

The writ petition is filed to direct the respondents 3 and 4 to lift the freezing of the petitioner's bank account bearing No.20470100010363.

2. The petitioner's case is that he is the holder of the above bank account with the fourth respondent Bank. Surprisingly, the petitioner's bank account has been frozen. The petitioner is unaware of the reason why his bank account has been frozen. The petitioner was not afforded any opportunity of being heard before the freezing of the bank account. The action of the respondents is illegal and arbitrary. Hence, the writ petition.

3. Heard; Sri.Sidharth.O, the learned counsel for the petitioner and Sri.Mohan Jacob George, the learned Standing Counsel for respondents 3 and 4. Even though notice has been served on the other respondents by e-mail, there is no appearance for them.

4. When the writ petition came up for admission on 7.11.2024,, this Court passed an interim order by observing that the freezing of the petitioner's bank account has been lifted and presently there is only a notice under Section 102 of the Cr.P.C from the Maharashtra Police. The said submission is recorded.

5. In [Dr.Sajeer v. Reserve Bank of India](#) [2024

(1) KLT 826] this Court has categorically held as follows:

" a. The respondent Banks arrayed in these cases, are directed to confine the order of freeze against the accounts of the respective petitioners, only to the extent of the amounts mentioned in the order/requisition issued to them by the Police Authorities. This shall be done forthwith, so as to enable the petitioners to deal with their accounts, and transact therein, beyond that limit. b. The respondent - Police Authorities concerned are hereby directed to inform the respective Banks as to whether freezing of accounts of the petitioners in these Writ Petitions will require to be continued even in the afore manner; and if so, for what further time, within a period of eight months from the date of receipt of a copy of this judgment.

c. On the Banks receiving the afore information/ intimation from the Police Authorities, they will adhere with it and complete necessary action - either continuing the freeze for such period as mentioned therein; or withdrawing it, as

the case may be. d. If, however, no information or intimation is received by their Banks in terms of directions (b) above, the petitioners or such among them, will be at full liberty to approach this Court again; for which purpose, all their contentions in these Writ Petitions are left open and reserved to them, to impel in future."

6. I am in complete agreement with the principles laid down in **Dr.Sajeer'**s case. Nevertheless, it is apposite to scrutinise the issue in the context of the applicable statutory provisions and the precedents on the said question of law.

7. The intimation from the police, in most of the cases, refers to Section 102 of the Cr.P.C., which is undoubtedly the relevant provision for seizure of *property* . It is also noteworthy, that Section 106 of the Bharatiya Nagarik Suraksha Sanhita, 2023, is *pari materia* with Section 102 of the Cr.P.C. It is profitable to refer to Section 102 of the Cr.P.C, which reads thus:

"Section 102:- **Power of police officer to seize certain *property*** - (1) Any police officer may seize any *property* which may be alleged or suspected to have been stolen, or

which may be found under circumstances which create suspicion of the commission of any offence.

(2) Such police officer, if subordinate to the officer in charge of a police station, shall forthwith report the seizure to that officer.

(3) Every police officer acting under Sub-Section (1) shall forthwith report the seizure to the Magistrate having jurisdiction and where the *property* seized is such that it cannot be, conveniently transported to the Court or where there is difficulty in securing proper accommodation for the custody of such *property* , or where the continued retention of the *property* in police custody may not be considered necessary for the purpose of investigation, he may give custody thereof to any person on his executing a bond undertaking to produce the *property* before the Court as and when required and to give effect to the further orders of the Court as to the disposal of the same. Provided that where the *property* seized under Sub-Section (1) is subject to speedy and natural decay and if the person entitled to the possession of such *property* is unknown or absent and the value of such *property* is less than five hundred rupees, it may forthwith be sold by auction under the orders of the Superintendent of Police and the provisions of sections 457 and 458 shall, as nearly as may be practicable, apply to the net proceeds of such sale."

8. A reading of Section 102, makes it clear that the police has the power to seize any *property* which may be alleged or suspected to have been stolen, or

which may be found under circumstances which create suspicion of the commission of any offence.

9. The Honourable Supreme Court in **State of Maharashtra v. Tapas D Neogy** [(1999) 7 SCC 685] has held that the bank account of the accused or any of his relatives can be treated as "*property* " for the purpose of Section 102 of the Code.

10. Later, in **Teesta Atul Setalvad (S) v. The State Of Gujarat (S)** [(2018) (2) SCC 372], the Supreme Court also held that the Investigating Officer can issue instruction to seize the suspected bank accounts, subject to his submitting a report to the Magistrate concerned, as mandated in sub-section (3) of Section 102.

11. Subsequently, another issue arose with respect to cases in which there was a delay in reporting the seizure to the Magistrate. This led to divergent views being expressed by different High Courts. The issue was set at rest by the Honourable Supreme Court in **Shento Varghese v. Julfikar Husen and others**

[2024 SCC OnLine SC 895] in the following lines:

"22.From the discussion made above, it would emerge that the expression 'forthwith' means 'as soon as may be', 'with reasonable speed and expedition', 'with a sense of urgency', and 'without any unnecessary delay'. In other words, it would mean as soon as possible, judged in the context of the object sought to be achieved or accomplished.

23. We are of the considered view that the said expression must receive a reasonable construction and in giving such construction, regard must be had to the nature of the act or thing to be performed and the prevailing circumstances of the case. When it is not the mandate of the law that the act should be done within a fixed time, it would mean that the act must be done within a reasonable time. It all depends upon the circumstances that may unfold in a given case and there cannot be a straight- jacket formula prescribed in this regard. In that sense, the interpretation of the word 'forthwith' would depend upon the terrain in which it travels and would take its colour depending upon the prevailing circumstances which can be variable.

24. Therefore, in deciding whether the police officer has properly discharged his obligation under Section 102(3) Cr. P.C., the Magistrate would have to, firstly, examine whether the seizure was reported forthwith. In doing so, it ought to have regard to the interpretation of the expression, 'forthwith' as discussed above. If it finds that the report was not sent forthwith, then it must examine whether there is any explanation offered in support of the delay. If the Magistrate finds that the delay has been

properly explained, it would leave the matter at that. However, if it finds that there is no reasonable explanation for the delay or that the official has acted with deliberate disregard/wanton negligence, then it may direct for appropriate departmental action to be initiated against such erring official. We once again reiterate that the act of seizure would not get vitiated by virtue of such delay, as discussed in detail herein above."

12. Therefore, it is no longer open for any person to contend that the delay in complying with Section 102 Cr.P.C would vitiate the seizure as such. This gives rise to an ancillary question, as to the impact of non-compliance of Section 102(3), by the failure on the part of the police officer concerned to report the seizure of bank account to the jurisdictional Magistrate.

13. In my considered view, this question has to be addressed in the light of Article 300A of the Constitution of India, which stipulates that no person shall be deprived of his *property* except by authority of law. The authority of law in the cases under consideration is conferred by Section 102 Cr.P.C. Therefore, abject violation of the procedure prescribed

therein will definitely affect the validity of the seizure. While on the subject, it will be profitable to refer the well considered judgment rendered by a learned single Judge of this Court in **Madhu K v. Sub Inspector of Police and others** [2020 (5) KLT 483], wherein the practice of certain police officers of directing freezing of accounts without reporting to the Magistrate concerned was deprecated. This Court has directed in the judgment that the police officer acting under Section 102 Cr.P.C cannot be permitted to arrogate to himself an unregulated and unbridled power to freeze the bank account of a person on mere surmise and conjuncture, since such unguarded power may bring about drastic consequences affecting the right to privacy as well as reputation of the account holder. The other relevant portion of that judgment reads as under:-

"If it finds that the report was not sent forthwith, then it must examine whether there is any explanation offered in support of the delay. If the Magistrate finds that the delay has been properly explained, it would leave the matter at that. However, if it finds that there is no reasonable

explanation for the delay or that the official has acted with deliberate disregard/wanton negligence, then it may direct for appropriate departmental action to be initiated against such erring official. We once again reiterate that the act of seizure would not get vitiated by virtue of such delay, as discussed in detail herein above."

14. The above discussion leads to the conclusion that, while delay in forthwith reporting the seizure to the Magistrate may only be an irregularity, total failure to report the seizure will definitely have a negative impact on the validity of the seizure. In such circumstances, account holders like the petitioner, most of whom are not even made accused in the crimes registered, cannot be made to wait indefinitely hoping that the police may act in tune with Section 102 of Cr.P.C. and report the seizure as mandated under Sub- section (3) at some point of time.

In the above conspectus, this writ petition is disposed off by passing the following directions, in addition to the directions in **Dr.Sajeer** (supra):

(i) The jurisdictional police officers shall inform the concerned banks whether the seizure of the bank account has been reported to the jurisdictional Magistrate and if not, the time limit within which the seizure will be reported. If no intimation as to the compliance or the proposal to comply with Section 102 of the Cr.P.C. is received by the bank within one month of receipt of a copy of this judgment, the bank shall lift the debit freeze or remove the lien, as the case may be, on the petitioner's bank account.

(ii) In order to enable the Police to comply with the above direction, the bank, as well as the petitioner, shall forthwith serve a copy of this judgment to the jurisdictional officer and retain proof of such service.

The writ petition is ordered accordingly.

Sd/-C.S.DIAS

JUDGE

ma/4.12.2024